

TENTATIVE RULINGS
LAW AND MOTION CALENDAR

Judge Nathan Vu

Department N15

Hearing Date and Time: June 29, 2026 @ 9:00 AM

TENTATIVE RULINGS: The court will endeavor to post tentative rulings on this website by 3:00 p.m. on the day before the hearing. However, ongoing proceedings may prevent posting by that time or the court may have no tentative ruling on a matter.

Once a tentative ruling has been posted, the court may not entertain requests for continuance and may not consider additional papers.

ORAL ARGUMENT: The court will hear oral argument regarding law and motion matters on the hearing date and at the time stated above, unless all parties submit on the tentative ruling. Parties are not required to give notice of intent to appear.

If you wish to submit on the tentative ruling and do not intend to appear at the hearing, please inform opposing counsel and the court clerk by electronic mail n15@occourts.org or by telephone (657) 622-5615. If all parties submit on the tentative ruling or no parties or counsel appear for the hearing, then the tentative ruling shall become the final ruling.

APPEARANCES: Parties and counsel may appear at the law and motion hearing in-person or via Zoom. Persons appearing in-person shall come to Department N15 at the North Justice Center, 1275 N. Berkeley Avenue, Fullerton, CA 92832.

Persons appearing remotely must check-in online through the court's website at <https://www.occourts.org/general-information/covid-19-response/civil-covid-19-response/civil-remote-hearings> and then clicking on the button entitled "Department N15 Judge Nathan Vu".

Anyone having difficulty appearing remotely may contact the court clerk at (657) 622-5615.

All persons appearing remotely must abide by all applicable laws and rules, including Local Rule 375, and must obtain, test the functionality of, and learn how to use the Zoom application and all necessary equipment prior to the remote hearing. More information is available at <https://www.occourts.org/media-relations/civil.html>.

COURT REPORTERS: Court reporters employed by the court are NOT normally provided for law and motion matters in civil courtrooms. If a party desires a record of a law and motion proceeding, it is the party's responsibility to arrange for a privately-retained court reporter, who may appear in-person or remotely. Parties must comply with the Court's policy on the use of privately-retained court reporters, available at https://www.occourts.org/media/pdf/Private_Retained_Court_Reporter_Policy.pdf.

1	Olen Commercial Realty Corp. vs. Coast Drivers LLC 30-2026-01543818	<u>Motion to Strike</u> Plaintiff Olen Commercial Realty Corp.'s Motion to Strike the Answer of Defendant Coast Drivers LLC and Kaden J. Cogbill is taken OFF CALENDAR pursuant to the Notice of Withdrawal of Motion filed May 20, 2026 (ROA #41).
2	William N. Langstaff Professional Dental Corporation vs. Swope 30-2024-01439562	<u>Motion to Compel Arbitration</u> Defendant City National Bank's Motion to Compel Arbitration and to Stay Proceedings Pending this Motion and Pending Arbitration is GRANTED. Plaintiffs William N. Langstaff DDS and Willim N. Langstaff Professional Dental Corporation, and Defendant City National Bank, are ORDERED to arbitrate all claims between them that are asserted in this action. The action between Plaintiffs William N. Langstaff DDS and Willim N. Langstaff Professional Dental Corporation, and Defendant City National Bank, shall be STAYED pending completion of the arbitration proceedings. The court SETS an ADR Review Hearing for January 14, 2027 at 10:00 a.m. in Department N15. Plaintiffs William N. Langstaff DDS and Willim N. Langstaff Professional Dental Corporation, and Defendant City National Bank, are ORDERED to appear at the ADR Review Hearing to give an update on the progress of the arbitration proceedings. <u>Pending Motion</u> Defendant City National Bank (Defendant CNB) moves to compel arbitration of the claims asserted against it in the Complaint filed by Plaintiffs William N. Langstaff DDS and Willim N. Langstaff Professional Dental Corporation and to stay this action pending completion of the arbitration proceedings. Defendant CNB also moves for an award of the attorney's fees it incurred in bringing the instant motion.

		<u>California Arbitration Act and Federal Arbitration Act</u> The law of this state with respect to arbitration agreements is contained in the California Arbitration Act (CAA), Civil Procedure Code section 1280, <i>et seq.</i> Under the CAA, when a party to an arbitration agreement refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (See Code Civ. Proc., § 1281.2; <i>Condee v. Longwood Management Corp.</i> (2001) 88 Cal.App.4th 215, 218.) However, the right to arbitration is based on contract. (See <i>Little v. Pullman</i> (2013) 219 Cal.App.4th 558, 565.) Thus, the parties also may agree in the contract that the arbitration will be controlled by the Federal Arbitration Act (FAA.) In addition, “[t]he FAA applies to any ‘contract evidencing a transaction involving commerce’ that contains an arbitration provision.” (<i>Carbajal v. CWPSC, Inc.</i> (2016) 245 Cal.App.4th 227, 238, quoting 9 U.S.C. § 2.) Here, Defendant CNB presents evidence that in November of 2022, it informed all clients, including Plaintiffs, that an arbitration agreement (Arbitration Agreement) would take effect starting on February 1, 2023. (See Decl. of Krista Biles in Supp. of Def. CNB’s Mot. to Compel Arbitration and to Stay Proceedings Pending This Mot. and Pending Arbitration (Biles Decl.), ¶ 9.) Defendant CNB also submitted a copy of the Arbitration Agreement, which states: This Arbitration Agreement shall be interpreted and enforced in accordance with the Federal Arbitration Act set forth in Title 9 of the U.S. Code to the fullest extent possible, notwithstanding any state law to the contrary, regardless of the origin or nature of the Claims at issue. You and we agree that, by virtue of your relationship with us and the products or services we have provided, will provide, or have offered to provide to you, we are participating in transactions involving the movement of money or goods among states.
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		(<i>Id.</i>, Exh. D at p. 3.) The Plaintiffs do not dispute that the parties agreed that the FAA applies in this case. Accordingly, the FAA governs here. <u>Standard for Compelling Arbitration</u> The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) The United States Supreme Court has described 9 U.S.C. section 2 as reflecting both a “liberal federal policy favoring arbitration,” and the “fundamental principle that arbitration is a matter of contract.” (<i>AT & T Mobility LLC v. Concepcion</i> (2011) 563 U.S. 333, 339, quoting <i>Moses H. Cone Memorial Hospital v. Mercury Constr. Corp.</i> (1983) 460 U.S. 1, 24 and <i>Rent-A-Center, West, Inc. v. Jackson</i> (2010) 561 U.S. 63, 67.) As with the CAA, when a party to an arbitration agreement governed by the FAA refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (See 9 U.S.C. § 4.) On a motion to compel arbitration under the FAA, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (<i>Brennan v. Opus Bank</i> (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; see <i>Dean Witter Reynolds, Inc. v. Byrd</i> (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].) When deciding whether a valid arbitration agreement exists, courts generally apply “ordinary state-law principles that govern the formation of contracts.” (<i>First Options of Chicago, Inc. v. Kaplan</i> (1995) 514 U.S. 938, 944.) Thus, the FAA permits arbitration agreements to be invalidated by “generally applicable contract defenses, such
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		as fraud, duress, or unconscionability.” (<i>AT & T Mobility LLC v. Concepcion</i>, <i>supra</i>, 563 U.S. at p. 339, quoting <i>Doctor’s Associates, Inc. v. Casarotto</i> (1996) 517 U.S. 681, 687.) The party seeking to compel arbitration bears an initial burden to make a <i>prima facie</i> showing the claims asserted in the complaint are covered by a valid agreement to arbitrate. (<i>Molecular Analytical Systems v. CIPHERGEN Biosystems, Inc.</i> (2010) 186 Cal.App.4th 696, 710-711.) Then, “the party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (<i>Green Tree Fin. Corp. v. Randolph</i> (2000) 531 U.S. 79, 91.) <u>Existence of Arbitration Agreement</u> With regard to the existence of an agreement to arbitrate, the party seeking to compel arbitration bears “the ultimate burden of proof, but the court [is] obliged to resolve the dispute using a three-step burden-shifting process.” (<i>Iyere v. Wise Auto Group</i> (2023) 87 Cal.App.5th 747, 755.) The Court of Appeal explained that this process requires that: The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. A movant can bear this initial burden “by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signature.” At this step, a movant need not “follow the normal procedures of document authentication” and need only “allege the existence of an agreement and support the allegation as provided in rule [3.1330].” If the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence — in this instance, by disputing the authenticity of their signatures. To bear this burden, the arbitration opponent must offer admissible evidence creating a factual dispute as to the authenticity of their signatures. The opponent need not <i>prove</i> that his or her purported signature is not authentic, but must submit sufficient evidence to create a factual dispute and shift the burden back to
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		the arbitration proponent, who retains the ultimate burden of proving, by a preponderance of the evidence, the authenticity of the signature. (<i>Ibid.</i>, citations omitted, quoting <i>Espejo v. Southern California Permanent Medical Group</i> (2016) 246 Cal.App.4th 1047, 1060 and <i>Condee v. Longwood Management Corp.</i>, <i>supra</i>, 88 Cal.App.4th at pp 218-219.) Other ways that a party opposing arbitration may challenge the arbitration agreement is by testifying under oath, or declaring under penalty of perjury that: (1) they never saw the agreement, (2) they do not remember seeing the agreement, (3) they never signed the agreement, or (4) they do not remember signing the agreement. (See <i>Gamboa v. Northeast Community Clinic</i> (2021) 72 Cal.App.5th 158, 165.) As noted above, Defendant CNB presents evidence that in November 2022, it informed Plaintiffs and other clients that the Arbitration Agreement would become effective February 1, 2023. (See Biles Decl., ¶ 9.) Specifically, Defendant CNB added a notice all of its customers' November 2022 account statements that informed them that: EFFECTIVE FEBRUARY 1 2023, THE DISPUTE RESOLUTION SECTION IN THE ACCOUNT AGREEMENT AND DISCLOSURES WILL BE REVISED TO IMPLEMENT BINDING ARBITRATION OF ALMOST ALL DISPUTES BETWEEN YOU AND THE BANK. (<i>Id.</i>, ¶ 10, Exh. C.) Defendant CNB also included those same account statements the Addendum and Notice of Change in Terms, which stated: Effective February 1, 2023, the section of the Account Agreement and Disclosures ("AA&D") entitled "Dispute Resolution" will be replaced in its entirety with a new section also entitled "Dispute Resolution". THE REPLACEMENT "DISPUTE RESOLUTION" SECTION WILL IMPLEMENT BINDING ARBITRATION OF ALMOST ALL
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		DISPUTES BETWEEN YOU AND CITY NATIONAL BANK. (<i>Id.</i>, ¶¶ 11-12, Exh. D at p. 1.) The Addendum and Notice of Change in Terms contains the Arbitration Agreement, which provides that: Except to the extent that they may be resolved through small claims court or as set forth in the “Miscellaneous” section below, any and all Claims, regardless whether they (a) arise out of, affect, or relate to conduct that occurred prior to the Effective Date of the Agreement, or (b) are in contract, tort, statute, or otherwise, shall, at the election of either you or us, be resolved by confidential and binding arbitration. . . . This Arbitration Agreement shall be interpreted and enforced in accordance with the Federal Arbitration Act set forth in Title 9 of the U.S. Code to the fullest extent possible, notwithstanding any state law to the contrary, regardless of the origin or nature of the Claims at issue. You and we agree that, by virtue of your relationship with us and the products or services we have provided, will provide, or have offered to provide to you, we are participating in transactions involving the movement of money or goods among states. (<i>Id.</i>, Exh. D at p. 2.) Therefore, Defendant CNB has met its initial burden to prove the existence of an arbitration agreement between Plaintiffs and Defendant CNB. The burden now shifts to Plaintiffs to identify a factual dispute regarding the existence of an arbitration agreement between the parties. Plaintiffs contend that the Addendum and Notice of Change was a “bill stuffer” that attempted to change the original terms agreed to by Plaintiffs without their consent.
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		Plaintiffs also argue that Defendant CNB failed to present evidence that, when Plaintiffs signed the original terms, they were aware that they would be required to arbitrate the claims brought in this action. In support of this contention, Plaintiffs cite to <i>Badie v. Bank of America</i> (1998) 67 Cal.App.4th 779. In that case, the Court of Appeal addressed the issue of “[w]hether the Bank's customers can be said to have agreed to allow the Bank to add the ADR clause to those agreements simply by sending them notice of the change” (<i>Id.</i> at p. 791.) The Court of Appeal explained that: [The resolution of this issue] depends, as a threshold matter, on the meaning and scope of the change of terms provision itself. Implicit in the Bank's interpretation of that provision is the assumption that adding the ADR clause is not really a modification at all because, by entering the original account agreements, the customers agreed ahead of time to be bound by any term the Bank might choose to impose in the future. The Bank argues that neither traditional contract offer-and-acceptance principles nor Civil Code section 1698 's requirements of written consent or additional consideration apply if the modification is “in accordance with the terms of the contract.” The Bank appears to contend that regardless of the nature of a modification, the new ADR provision is a valid part of the contract as long as the prescribed procedure for making the modification was followed. In this case, the only procedural requirement set forth in the change of terms provision was that the Bank would notify the customer of the change. Thus, the Bank argues, because it sent notice in the form of the “bill stuffer,” it met the sole procedural requirement of the change of terms provision, and the modification was therefore valid because it was made “in accordance with the terms of the contract.” We cannot agree. The contract modification cases cited by the Bank and relied on by the trial court in its statement of decision do not support the
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		proposition that a party with the unilateral right to modify a contract has carte blanche to make any kind of change whatsoever as long as a specified procedure is followed. In fact, those cases suggest that a modification made "in accordance with the terms of the contract" means, at least in part, a modification whose general subject matter was anticipated when the contract was entered into. (<i>Ibid.</i>, quoting <i>Busch v. Globe Industries</i> (1962) 200 Cal.App.2d 315, 320, footnote omitted.) The Court of Appeal determined that "the method and forum for dispute resolution — a matter which is collateral to that relationship — is not discussed at all" in the original agreement, and that "there is nothing about the original terms that would have alerted a customer to the possibility that the Bank might one day in the future invoke the change of terms provision to add a clause that would allow it to <i>impose</i> ADR on the customer." (<i>Id.</i> at pp. 800-801, italics original.) Defendant CNB contends that <i>Badie v. Bank of America</i> is distinguishable because the prior version of the Account Agreement and Disclosures, to which Plaintiffs had agreed, included an alternative dispute resolution provision and thus, the parties contemplated that disputes would be resolved out of court. (See Decl. of Angel Garcia in Supp. of Def. CNB's Mot to Compel Arbitration (Garcia Decl.), ¶ 3, Exh. E at pp. 18-19.) (fn.1) (fn.1) This evidence was submitted with Defendant CNB's reply papers. While courts normally do not consider evidence presented for the first time in reply, they may do so when the evidence is submitted in rebuttal to points raised in the opposition papers. (<i>Karlsson v. Ford Motor Co.</i> (2006) 140 Cal.App.4th 1202, 1216.) The court will consider this evidence, which was submitted in response to Plaintiffs' citation to <i>Badie v. Bank of America</i> in their opposition papers. That provision states: ALTERNATIVE DISPUTE RESOLUTION For California Only
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If your account is maintained at a branch in California and a dispute that involves the combined claims of all parties totaling \$250,000 or more arises between us with respect to the deposit account or safe deposit box, this Agreement, its enforcement or our deposit account services, either of us may require that it be resolved by judicial reference in accordance with California Code of Civil Procedure, Sections 638, et seq. The referee shall be a retired judge, agreed upon by the parties or appointed by the court. The costs of the reference procedure, including the fee for the court reporter, shall be paid equally by all parties as the costs are incurred. The referee shall hear all pre-trial and post-trial matters, including requests for equitable relief, prepare an award with written findings of fact and conclusions of law, and apportion costs as appropriate. Judgment upon the award shall be entered in the court in which such proceeding was commenced and all parties shall have full rights of appeal.

(*Id.* at Exh. E at p. 18, bold original.)

In *Mission Viejo Emergency Med. Assocs. v. Beta Healthcare Grp.* (2011) 197 Cal.App.4th 1146, the Court of Appeal distinguished *Badie v. Bank of America* on the basis that there was a prior ADR provision. (See *id.* at p. 1156 [“But *Badie* is inapplicable here. This case does not involve a change to an existing contract which previously had no arbitration provision — an arbitration agreement of some sort had been present in every policy between plaintiffs and defendants since 2002.”].)

In *Villa Milano Homeowners Ass’n v. Il Davorge* (2000) 84 Cal.App.4th 819, the Court of Appeal distinguished *Badie* on a similar basis: “First, by use of the bill stuffers, the bank in *Badie* sought to change the terms to which the customers had already agreed. But here, there is no change in terms. Rather, the arbitration clause has been a part of the CC & R’s since the date of recordation.” (*Id.* at p. 825, disapproved of on other grounds, *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223.)

		Defendant CNB also argues that <i>Badie v. Bank of America</i> is distinguishable because the Arbitration Agreement had an opt-out provision. Specifically, the Arbitration Agreement states: Right To Opt Out. If you have an account that is (a) maintained at a branch in California, (b) governed by an AA&D with an effective date earlier than February 1, 2023, and (c) open as of January 31, 2023, then you have the right to opt out of the Arbitration Agreement below with respect to that account. To opt out, you must notify us in writing prior to February 1, 2023, by stating "I elect to opt out of the Arbitration Agreement with respect to the following account(s)" or any words to that effect. You must specify the name(s) and the last four digits of the account number(s) as to which you elect to opt out. You may opt out by (a) sending a letter to City National Bank-Central Operations at 350 South Grand Avenue, 4th Floor, Los Angeles, CA 90071, signed by you and postmarked prior to February 1, 2023; or (b) sending an email to CentOpsAdmin-Dispute_Resolution@cnb.com prior to February 1, 2023. If you timely and properly opt out, then all Claims (as defined below) relating to the account as to which you opted out will be governed by the dispute resolution provisions contained in the AA&D that governed that account and that were in effect immediately prior to February 1, 2023. Your opt-out will not be effective, and you will be deemed to have consented and agreed to the Arbitration Agreement, if you do not abide by the preceding sentences. (See Biles Decl., Exh. D at p. 1.) Defendant CNB cites to two federal cases that distinguished <i>Badie v. Bank of America</i> on this basis. In <i>Ackerberg v. Citicorp USA, Inc.</i> (N.D.Cal.2012) 898 F.Supp.2d 1172, the District Court stated: Plaintiff relies on <i>Badie v. Bank of Am.</i>, 67 Cal.App.4th 779, 79 Cal.Rptr.2d 273
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		(1998) and <i>Sears, Roebuck and Co. v. Avery</i>, 163 N.C.App. 207, 593 S.E.2d 424 (2004) for the proposition that a unilateral addition of an arbitration clause under a change-of-terms provision is unenforceable. In those cases, however, the cardholders were provided no realistic opportunity to exit the account when the new terms were added. See <i>Badie</i>, 67 Cal.App.4th at 805, 79 Cal.Rptr.2d 273 (cardholder had to close the account immediately in order to opt-out of the new ADR requirement inserted in a mailer); <i>Avery</i>, 593 S.E.2d at 426–27 (to opt-out cardholder had to pay off the entire balance within 30 days, which she could not afford to do). (<i>Id.</i> at p. 1176.) In <i>Cayanan v. Citi Holdings, Inc.</i> (S.D. Cal. 2013) 928 F.Supp.2d 1182, 1200, the District Court relied on <i>Ackerberg v. Citicorp USA, Inc.</i> in concluding the plaintiff had agreed to arbitrate her claims against the defendant: Plaintiff Baker also relies on <i>Badie v. Bank of America</i>, 67 Cal.App.4th 779, 79 Cal.Rptr.2d 273 (1998), for the proposition that a unilateral addition of an arbitration clause under a change-of-terms provision is unenforceable. However, <i>Badie</i> did not hold that bill stuffer notices are <i>per se</i> invalid. Rather, the particular notice in that case failed to provide consumers a “realistic opportunity to exit the account when the new terms were added.” <i>Ackerberg v. Citicorp USA, Inc.</i>, 898 F.Supp.2d 1172, 1176 (N.D.Cal.2012) (distinguishing <i>Badie</i> where Citibank USA N.A.'s notice contained opt out provision and opportunity to pay off outstanding balance under existing terms of card agreement). (<i>Id.</i> at p. 1200, footnote omitted.) <i>Badie v. Bank of America</i> is not applicable here. In this case, when the parties agreed to the prior version of the Account Agreement and Disclosures, they anticipated that disputes involving the combined claims of all parties totaling \$250,000 or more that arose between
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	them with respect to a deposit account would be resolved by alternative dispute resolution. Thus, the “bill stuffer” was adding wholly new terms to the Account Agreement and Disclosure, but rather, was only modifying an alternative dispute resolution provision already within the contemplation of the parties. Further, opt-out provision in this case gave Plaintiffs a “realistic opportunity to exit the account when the new terms were added.” In fact, Plaintiffs had an opportunity to avoid the terms of the Arbitration Agreement altogether without terminating their bank account. Therefore, the court finds that there was a valid arbitration agreement between Plaintiffs and Defendant CNB. <u>Scope of Arbitration Agreement</u> Before the parties can be ordered to arbitration, the court must carefully examine the terms of the contract and apply the statutory rules of contract interpretation. (See <i>Bono v. David</i> (2007) 147 Cal.App.4th 1055, 1063.) One overriding rule is that “[a] contract must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful.” (Civil Code, § 1636.) Here, the Arbitration Agreement requires that “any and all Claims, regardless whether they (a) arise out of, affect, or relate to conduct that occurred prior to the Effective Date of the Agreement, or (b) are in contract, tort, statute, or otherwise, shall, at the election of either you or us, be resolved by confidential and binding arbitration.” (Biles Decl., Exh. D at p. 2.) The Arbitration Agreement clearly and unambiguously applies to “any and all Claims,” including those claims asserted against Defendant CNB in this action, and Plaintiffs do not argue otherwise. <u>Unconscionability</u>
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		Plaintiffs do, however, contend that the Arbitration Agreement is unenforceable because it is unconscionable. The doctrine of unconscionability refers to “an absence of meaningful choice on the part of one of the parties together with contract terms which are unreasonably favorable to the other party.” (<i>Sonic-Calabazas A, Inc. v. Moreno</i> (2013) 57 Cal.4th 1109, 1133.) It consists of both procedural and substantive components – “the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (<i>Ibid.</i>) In order to be unenforceable due to unconscionability, “[procedural and substantive unconscionability] must both be present.” (<i>Armendariz v. Found Health Psychcare Servs., Inc., supra</i>, 24 Cal.4th at p. 114, quoting <i>Stirlen v. Supercuts, Inc.</i> (1997) 51 Cal.App.4th 1519, 1533; see <i>Wherry v. Award, Inc.</i> (2011) 192 Cal.App.4th 1242, 1246 [“To be voided on [unconscionability] ground[s], the agreement must be both procedurally and substantively unconscionable.”]) However, “they need not be present in the same degree.” (<i>Armendariz v. Found Health Psychcare Servs., Inc., supra</i>, 24 Cal.4th 83, 114; <i>Parada v. Superior Court</i> (2009) 176 Cal.App.4th 1554, 1570.) “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves. In other words, the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (<i>Armendariz v. Found Health Psychcare Servs., Inc., supra</i>, 24 Cal.4th 83 at p. 114.) “The party resisting arbitration bears the burden of proving unconscionability.” (<i>Pinnacle Museum Tower Ass’n v. Pinnacle Market Dev. (US), LLC</i> (2012) 55 Cal.4th 223, 247.) <u>Procedural Unconscionability (Arbitration Agreement)</u>
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		Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of surprise and oppression. (<i>Kinney v. United Healthcare Servs.</i> (1999) 70 Cal.App.4th 1322, 1329.) These factors "include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party's review of the proposed contract was aided by an attorney." (<i>OTO, L.L.C. v. Kho</i> (2019) 8 Cal.5th 111, 126-127.) Thus, the Supreme Court has instructed courts to first determine whether an arbitration agreement is adhesive. (See <i>Armendariz v. Found. Health Psychcare Servs., Inc.</i>, <i>supra</i>, 24 Cal.4th 83, 114-15.) "Oppression generally takes the form of a contract of adhesion, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it." (<i>Carmona v. Lincoln Millennium Car Wash, Inc.</i> (2014) 226 Cal.App.4th 74, 84, quotations and citations omitted.) Plaintiffs contend that the Arbitration Agreement was a contract of adhesion as Defendant CNB had superior bargaining power and presented the agreement on a "take it or leave it basis." However, as noted above, the Arbitration Agreement had an opt-out provision that does away, or at least reduces greatly, the adhesive nature of the agreement. Further, Defendant CNB presents evidence that Plaintiffs were informed that they had the right to opt out of the Arbitration Agreement and if they did not opt out, they would be subject to the terms of the Arbitration Agreement. (See Biles Decl., ¶¶ 13-15.) Despite this, Plaintiffs did not opt out as they were permitted to do. (See <i>id.</i>, ¶¶ 16-17, Exh.s E-F.)
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		Therefore, there is little or no procedure unconscionability present here. <u>Substantive Unconscionability</u> But even if the Arbitration Agreement was adhesive and procedurally unconscionable, that “does not as a matter of law render [it] unenforceable.” (<i>McManus v. CIBC World Markets Corp.</i> (2003) 109 Cal.App.4th 76, 91; see also <i>Serpa v. California Surety Investigations, Inc.</i> (2013) 215 Cal.App.4th 695, 704 [“[The] adhesive aspect of an agreement is not dispositive.”]; see also <i>Lagatree v. Luce, Forward, Hamilton & Scripps</i> (1999) 74 Cal.App.4th 1105, 1127 [“As we have seen, the cases uniformly agree that a compulsory pre-dispute arbitration agreement is not rendered unenforceable just because it is . . . offered on a ‘take it or leave it’ basis.”].) In order to be invalid, the arbitration agreement must also be substantively unconscionable. “Substantive unconscionability pertains to the fairness of an agreement’s actual terms and to assessments of whether they are overly harsh.” (<i>Carmona v. Lincoln Millennium Car Wash, Inc., supra</i>, 226 Cal.App.4th at p. 85, quotations and citations omitted.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to ‘shock the conscience.’” (<i>Ibid.</i>) The “paramount consideration” is the mutuality of the obligation to arbitrate. (<i>Nyulassy v. Lockheed Martin Corp.</i> (2004) 120 Cal.App.4th 1267, 1287.) “Substantive unconscionability focuses on the one-sidedness or overly harsh effect of the contract term or clause.” (<i>Harper vs. Ultimo</i> (2003) 113 Cal.App.4th 1402, 1406-1407.) An arbitration agreement “lacks basic fairness and mutuality if it requires one contracting party, but not the other, to arbitrate all claims arising out of the same transaction or occurrence or series of transactions or occurrences.” (<i>Armendariz v. Found Health Psychcare Servs., Inc., supra</i>, 24 Cal.4th at p. 120.) Plaintiffs contend that the Arbitration Agreement is unconscionable because it requires arbitration before a panel of three arbitrators rather than one arbitrator in cases over \$500,000 and must be
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		administered by the American Arbitration Association or JAMS, which would impose exorbitant costs and be prohibitively expensive. (See Opp’n to Def. CNB’s Mot. to Compel Arbitration at pp. 6-7.) Plaintiffs cite to <i>Green Tree Financial Corp. - Alabama v. Randolph</i> (2000) 531 U.S. 79, but in that case, the Supreme Court held: [W]e believe that where, as here, a party seeks to invalidate an arbitration agreement on the ground that arbitration would be prohibitively expensive, that party bears the burden of showing the likelihood of incurring such costs. (<i>Id.</i> at 92.) The Supreme Court determined that the plaintiff “did not meet that burden” because “neither during discovery nor when the case was presented on the merits was there any timely showing at all on the point.” (<i>Ibid.</i>) Thus, the “‘risk’ that [plaintiff] will be saddled with prohibitive costs is too speculative to justify the invalidation of an arbitration agreement.” (<i>Id.</i> at p. 91.) Here, Plaintiffs also provide no evidence that the fees would be prohibitively expensive. They only assert in their briefing that “[t]he costs of a three-judge panel of arbitrators in this case is likely \$30,000 a day” and “the JAMS fees would likely be in excess of \$12,000 per day for each day of arbitration.” (Opp’n at pp. 6:12-13, 7:5-6.) However, the “[s]tatements and arguments by counsel are not evidence.” (<i>Gdowski v. Gdowski</i> (2009) 175 Cal.App.4th 128, 139.) Plaintiffs cite to <i>Parada v. Superior Court</i> (2009) 176 Cal.App.4th 1554, but in that case, the petitioners presented the court with evidence as to costs and their ability to bear those costs. (See <i>id.</i> at p. 1574 [“Petitioners presented evidence establishing the cost of a single day of arbitration would be at least \$3,200 per arbitrator, plus additional case management fees charged by JAMS. Petitioners submitted evidence of their income, expenses, and savings showing their inability to pay those fees at the time they signed the Atlas Account Agreements.”].)
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		In this case, Plaintiffs did not submit any evidence of the actual cost of arbitration in this case or Plaintiffs' financial status and ability to pay those costs. Plaintiffs also fail to provide evidence to show that these costs would be prohibitively expensive relative to Plaintiffs' claims that Defendant CNB "fail[ed] to follow their own fraud monitoring, prevention and protection policies and transferring millions of dollars of Plaintiffs' funds" and causing Plaintiffs "injury in fact in the way of lost money in excess of five million dollars, or more." (First Amend. Compl., ¶¶ 107, 109.) Here, Plaintiffs has shown little or no procedural unconscionability and no substantive unconscionability. Therefore, the court will grant the motion to compel arbitration. <u>Stay of Pending Court Action</u> Civil Procedure Code section 1281.4 provides: If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies. (Code Civ. Proc., § 1281.4.) The Court of Appeal has interpreted Section 1281.4 to mean that "[a]ny party to a judicial proceeding 'is entitled to a stay of those proceedings whenever (1) the arbitration of a controversy has been ordered, and (2) that controversy is also an issue involved in the pending judicial action.'" (<i>Heritage Provider Network, Inc. v. Superior Court</i> (2008) 158 Cal.App.4th 1146, 1152, quoting <i>Marcus v. Superior Court</i> (1977) 75 Cal.App.3d 204, 209.)
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		This means that, as a general matter, if the court grants the motion to compel arbitration, it must stay the court action until completion of the arbitration. (See <i>Thomas v. Westlake</i> (2012) 204 Cal.App.4th 605, 620 [if court orders arbitration, "it must also stay proceedings on the claims until completion of arbitration"].) In addition to Section 1281.4, Section 3 of the FAA states that: If any suit or proceeding be brought in any of the courts of the United States upon any issue referable to arbitration under an agreement in writing for such arbitration, the court in which such suit is pending, upon being satisfied that the issue involved in such suit or proceeding is referable to arbitration under such an agreement, shall on application of one of the parties stay the trial of the action until such arbitration has been had in accordance with the terms of the agreement, providing the applicant for the stay is not in default in proceeding with such arbitration. (9 U.S.C., § 3.) Here, the court has ordered that Plaintiffs and Defendant CNB arbitrate the claims between them. Thus, the court must stay the action between those parties. <u>Attorney's Fees</u> Generally, attorney's fees are borne by the party that incurred them. (See <i>Pederson v. Kennedy</i> (1982) 128 Cal.App.3d 976, 978-79). Therefore, a party may recover attorney's fees only if provided for by contract or statute. (See Code Civ. Proc., § 1033.5, subd. (a)(10); see also <i>LNSU # 1, LLC v. Alta Del Mar Coastal Collection Community Association</i> (2023) 94 Cal.App.5th 1050, 1081 ["Each party to an action must pay its own attorney fees unless a statute or contract requires the opposing party to pay them."].) For example, Civil Code section 1717 states that:
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		In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs. (Civil Code, § 1717, subd. (a).) Here, the Arbitration Agreement provides that: Any party that fails to submit to arbitration following a proper demand to do so shall bear and agrees to pay all costs and expenses, including reasonable attorneys' fees, incurred to compel arbitration. Such party shall bear and agrees to pay such costs and expenses (1) even if such party otherwise prevails, in whole or in part, on the Claim(s); and (2) notwithstanding any other provision of this Arbitration Agreement. (Biles Decl., Exh. D at p. 3.) Therefore, there is a basis upon which Defendant CNB may seek attorney's fees for the instant motion. <u>Lodestar Calculation of Attorney's Fees</u> Civil Code section 1717 provides that the amount of reasonable attorney's fees shall be fixed by the court and shall be an element of the costs. (Civil Code, § 1717, subd. (a).) The lodestar method normally is used to calculate reasonable fees in contract disputes. (See <i>PLCM Group v. Drexler</i> (2000) 22 Cal.4th 1084, 1090-1091; <i>Galbiso v. Orosi Pub. Util. Dist.</i> (2008) 167 Cal.App.4th 1063, 1089 [court should use lodestar method for calculating amount of award of attorney's fees, unless statute authorizing attorney's fees provides for another method of calculation].) When using this method, the court begins by determining the reasonable hours the prevailing
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		party's attorney spent on the case and multiplying that number by the reasonable hourly rate. (See <i>Ketchum vs. Moses, supra</i>, 24 Cal.4th at pp. 1131-34 or <i>Ketchum v. Moses</i> (2001) 24 Cal.4th 1122, 1131-1134; <i>Christian Research Institute v. Alnor</i> (2008) 165 Cal.App.4th 1315, 1321.) On a motion for attorney's fees, the moving party has the burden of establishing entitlement to an award, including that the fees were incurred and that they were reasonably incurred. (<i>ComputerXpress, Inc. v. Jackson</i> (2001) 93 Cal.App.4th 993, 1020; <i>Christian Research Institute v. Alno</i> (2008) 165 Cal.App.4th 1315, 1320.) Specifically, the party seeking attorney's fees "bear[s] the burden of . . . documenting the appropriate hours expended and hourly rates." (<i>Computer Xpress, Inc., supra</i>, 93 Cal.App.4th at p. 1020, quoting <i>Hensley v. Eckerhart</i> (1983) 461 U.S. 424, 437.) In its original motion papers, Defendant CNB did not provide evidence of the number of hours expended or the hourly rates of its counsel. Defendant CNB does provide some of this information in its reply papers. (See Supp. Decl. of Alexander H. Cote in Supp. of Def. CNB's Mot to Compel Arbitration, ¶¶ 2-3.) However, courts do not consider evidence presented in a reply declaration except in extraordinary circumstances and where the other party has an opportunity to respond. (See <i>Jay v. Mahaffey</i> (2013) 218 Cal.App.4th 1522, 1537 ["The general rule of motion practice, which applies here, is that new evidence is not permitted with reply papers."]; <i>San Diego Watercrafts, Inc. v. Wells Fargo Bank</i> (2002) 102 Cal.App.4th 308, 310 [summary judgment reversed because trial court erred in considering evidence first submitted with reply]; <i>Plenger v. Alza Corp.</i> (1992) 11 Cal.App.4th 349, 362, fn. 8 [court may consider new evidence presented in reply only in exceptional cases and only if opposing party is given opportunity to respond to new evidence].) Here, Defendant CNB does not explain why it did not present this evidence in its original moving papers, particularly as Defendant CNB made its request for attorney's fees in those moving papers
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		and thus, was aware of the need to support its request. Further, Plaintiffs did not have the opportunity to respond to this evidence. Therefore, the court will deny the request for attorney's fees without prejudice. The arbitrator may decide the issue of attorney's fees in the arbitration proceedings. Defendant CNB shall give notice of this ruling.
3	Maldonado vs. CalOptima 30-2022-01299196	<u>Motion to Seal</u> Defendant CalOptima Health's Motion to Seal Portions of Its Motion for Summary Judgment, or in the Alternative, Summary Adjudication is GRANTED. The court ORDERS that the following shall be sealed: 1. Appendix of Exhibits in Support of Defendant CalOptima Health's Motion for Summary Judgment, or in the Alternative, Summary Adjudication (ROA #242), Exhibits 2-6 and 14-37. <u>Pending Motion</u> Defendant CalOptima Health moves to seal Exhibits 2-6 and 14-37 to the Appendix of Exhibits in Support of Defendant CalOptima Health's Motion for Summary Judgment, or in the Alternative, Summary Adjudication (ROA #242). <u>Standard for Motion to Seal</u> "Unless confidentiality is required by law, court records are presumed to be open." (Cal. Rules of Court, rule 2.550(c); see <i>In re Marriage of Tamir</i> (2021) 72 Cal.App.5th 1068, 1078 [public's right of access to court records is based on both common law right of access to public documents, as well as constitutional right grounded in the First Amendment].) To seal a record, the moving party must file a motion for such relief, along with a memorandum

		and a declaration containing facts sufficient to justify the sealing. (Cal. Rules of Court, Rule 2.551, subd. (b)(1).) The motion must be served on all parties, and unless the court orders otherwise, a complete copy of the document must be served on all other parties that already possess copies, along with the redacted version. (Cal. Rules of Court, Rule 2.551, subd. (b)(2).) To grant a motion to seal, the court must expressly find that: 1. an overriding interest exists that overcomes the right of public access to the record; 2. the overriding interest supports sealing the records; 3. a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; 4. the proposed sealing is narrowly tailored; and 5. no less restrictive means exist to achieve the overriding interest. (Cal. Rules of Court, Rule 2.550, subd. (d); <i>McGuan v. Endovascular Technologies, Inc.</i> (2010) 182 Cal.App.4th 974, 988.) Examples of documents that may qualify to be sealed are: • Documents containing trade secrets, (see <i>In re Providian Credit Card Cases</i> (2002) 96 Cal.App.4th 292, 300; <i>McGuan v. Endovascular Tech., Inc., supra</i>, 182 Cal.App.4th at p. 988 [business' quality control records and complaint handling procedures may be sealed]); • Documents containing material protected by a privilege, (see <i>Huffy Corp. v. Superior Court</i> (2003) 112 Cal.App.4th 97, 108 [documents protected by attorney-client privilege may be sealed]); • Confidential settlement agreement, (see <i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, 1283). A sealing order must: (a) specifically state facts supporting the above findings; and (b) be narrowly tailored (<i>i.e.</i>, it should direct sealing of only those documents and pages that contain material that needs to be placed under seal; all
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		other portions of each document or page must remain in the public file). (See Cal. Rules of Court, rule 2.550(e)(1); Weil & Brown, Cal. Prac. Guide Civ. Pro. Before Trial (Rutter 2017) ¶ 9:418.1.) In this case, the requirements of Rule 2.550 have been met. Defendant CalOptima Health has shown that there is an overriding interest in protecting the confidentiality of the documents at issue because they contain health and medical information protected by disclosure under Health Insurance Portability and Accountability Act (HIPAA). An individual's privacy rights in their health and medical information are sufficiently substantial to overcome the right of public access to the information contained in the subject documents. Thus, the interest supports the sealing of the documents. Plaintiff also has shown that a substantial probability exists that the overriding interest will be prejudiced if the records are not sealed, that the proposed sealing is narrowly tailored, and there are no less restrictive means to achieve the overriding privacy interest. In addition, the requirements of Rule 2.551 have been met. No other party to this action or third-party has opposed the motion or shown that the requirements of Rule 2.550 or Rule 2.551 have not been met. Therefore, the court will grant the motion to seal. Defendant CalOptima Health shall give notice of this ruling. <u>Motion for Leave to File Cross-Complaint</u> Defendant Family Choice Medical Group, Inc.'s Motion for Leave to File Cross-Complaint is GRANTED. Defendant Family Choice Medical Group, Inc. is ORDERED to file the proposed Family Choice Medical Group, Inc.'s Cross-Complaint, attached as Exhibit 1 to the Declaration of Adam E. Wayne,
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		within 15 days of this ruling and to serve the Cross-Complaint upon all named Cross-Defendants within 60 days of this ruling. <u>Pending Motion</u> Defendant Family Choice Medical Group, Inc. (Defendant FCMG) move for leave to file the proposed Family Choice Medical Group, Inc.'s Cross-Complaint (Proposed Cross-Complaint) against Defendant Conifer Value-Based Care, LLC (Defendant Conifer). <u>Standard for Leave to File Cross-Complaint</u> Civil Procedure Code section 428.10 provides that: A party against whom a cause of action has been asserted in a complaint or cross-complaint may file a cross-complaint setting forth either or both of the following: (a) Any cause of action he has against any of the parties who filed the complaint or cross-complaint against him. . . . (b) Any cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action, if the cause of action asserted in his cross-complaint (1) arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause brought against him or (2) asserts a claim, right, or interest in the property or controversy which is the subject of the cause brought against him. (Code Civ. Proc., § 428.10.) If the party wishes to file a cross-complaint against a plaintiff or cross-complainant who filed a complaint or cross-complaint against the party, they must do so before or at the same time as the they file the answer to the complaint or cross-complaint. (See Code Civ. Proc., § 428.50, subd. (a).) If the party wishes to file a cross-complaint against a party that has not filed a complaint or cross-complaint against them, they may do so any time before the court has set a date for trial. (See
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		Code Civ. Proc., § 428.50, subd. (b).) If the party misses these deadlines, the party "shall obtain leave of court to file any cross-complaint." (Code Civ. Proc., § 428.50, subd. (c); see also Code Civ. Proc., § 426.50 ["A party who fails to plead a cause of action subject to the requirements of this article, whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave . . . to file a cross-complaint, to assert such cause at any time during the course of the action."].) If the proposed cross-complaint is compulsory, leave must be granted so long as defendant is acting in good faith. (See Code Civ. Proc., § 426.50 ["The court, after notice to the adverse party, shall grant, upon such terms as may be just to the parties, leave . . . to file the cross-complaint, to assert such cause if the party who failed to plead the cause acted in good faith."]; <i>Silver Organizations, Ltd. v. Frank</i> (1990) 217 Cal.App.3d 94, 98-99 ["Factors such as oversight, inadvertence, neglect, mistake or other cause, are insufficient grounds to deny the motion unless accompanied by bad faith."].) A compulsory cross-complaint is a cross-complaint that is asserted against the plaintiff (or cross-complainant) and contains a cause of action that is related to the complaint (or cross-complaint). (See Code Civ. Proc., § 426.30, subd. (a).) A cause of action is "related" to the complaint if it "arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint." (Code Civ. Proc., § 426.10, subd (c).) In order to be related, there does not need to be "an absolute identity of factual backgrounds for the two claims, but only a logical relationship between them." At the heart of this approach is the question of duplication of time and effort; i.e., are any factual or legal issues relevant to both claims?" (<i>Currie Medical Specialties, Inc. v. Bowen</i> (1982) 136 Cal.App.3d 774, 777, citations omitted, quoting <i>United Artists Corp. v. Masterpiece Prods.</i> (2d Cir. 1955) 221 F.2d 213, 216.) Claims that are only loosely related in that they involve some of the same parties and the same
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		matter, directly or indirectly, are not logically related if the trial of the claims does not involve a duplication of time and effort due to the fact that there are factual and legal issues that are relevant to both claims. (See <i>ZF Micro Devices, Inc. v. TAT Capital Partners, Ltd.</i> (2016) 5 Cal.App.5th 69, 84.) All cross-complaints that are not compulsory are permissive cross-complaints. Leave to file a permissive cross-complaint is within the discretion of the court, which may be granted "in the interests of justice." (Code Civ. Proc., § 428.50, subd. (c).) There is a liberal policy regarding granting leave to file cross-complaints. (<i>Align Technology, Inc. v. Bao Tran</i> (2009) 179 Cal.App.4th 949, 967; see also Code Civ. Proc., § 426.50 ["This subdivision shall be liberally construed to avoid forfeiture of causes of action."].) Here, the Proposed Cross-Complaint arises out of the same transaction, occurrence, and controversy that is alleged in Plaintiff Leticia Maldonado's Fifth Amended Complaint. The Fifth Amended Complaint asserts a single cause of action against Defendant FCMG for violation of Civil Code section 3428. (See Fifth Amend. Compl. at pp. 12-13.) The Fifth Amended Complaint alleges that Section 3428 imposes upon Defendant FCMG a duty of care to Plaintiff to arrange for medically necessary care and Defendant FCMG breached that duty when Dr. Lowell Gordon, who was acting as the medical director for Defendant FCMG, denied Dr. Joel Berman's request for authorization for surgery. (See <i>id.</i>, ¶¶ 23, 27, 62-65.) The Proposed Cross-Complaint asserts a single cause of action against Defendant Conifer for express contractual indemnity. (See Decl. of Adam E. Wayne, Exh. 1 at pp. 4-5.) The Proposed Cross-Complaint alleges that on or about June 1, 2009, FCMG entered into a Management Services Agreement (MSA) with Quality Medical Management, Inc. to manage certain management and administrative services, including the process by which requests for
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	authorization for medical services submitted on behalf of Defendant CalOptima Health's members are reviewed for medical necessity, and that Defendant Conifer is the successor-in-interest to Quality Medical Management, Inc. (See <i>id.</i>, ¶ 9.) Thus, Defendant FCMG "delegated the duty of utilization management and review services for FCMG to Cross-Defendant[] [Conifer], including reviewing for medical necessity, the requests for authorization submitted by Dr. Berman on behalf of Plaintiff in February of 2022." (See <i>id.</i>, ¶ 14.) The Proposed Cross-Complaint also pleads that in February 2022, Gordon was an independent contractor working as a medical director for Defendant Conifer. (See <i>id.</i>, ¶ 11.) As a result, Defendant Conifer is obligated indemnity Defendant FCMG "against all claims, damages, and liabilities incurred by FCMG that arose out of or resulted from Cross-Defendant's conduct of its performance of utilization and review duties with respect to the allegations in Plaintiff's [Complaint]." (See <i>id.</i>, ¶ 15.) Thus, the Proposed Cross-Complaint is related to the Fifth Amended Complaint and may properly be asserted pursuant to Section 428.10. However, the Proposed Cross-Complaint is not asserted against the plaintiff or cross-complainant, so it is not compulsory. Nonetheless, the court has discretion to grant leave to file a permissive cross-complaint where it is related to the Complaint. In addition, trial is not scheduled for another 10 ½ months, such that filing of the Proposed Cross-Complaint should not cause any undue delay or prejudice to any party in preparing for trial. Defendant Conifer contends that the MSA contains an arbitration provision and that Defendant FCMG's cross-claim should be arbitrated. (See Decl. of Donna Costanza, Exh. A, § 16.) Defendant Conifer also argues that the cross-claim is premature and futile because Section 9 of the MSA provides that "neither party shall be liable to the other party hereunder for any claim covered by third party insurance, except to the extent that
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		the liability of such party exceeds the amount of such third party insurance coverage.” (<i>Id.</i>, Exh. A, § 9.1.) Defendant Conifer asserts that, because there has been no settlement or judgment in this case, whether Defendant FCMG’s liability exceeds the amount of third party insurance coverage cannot be determined. However, it would be preferable to allow Defendant FCMG to file the Proposed Cross-Complaint and then for Defendant Conifer to file a motion to compel arbitration and/or a demurrer, motion for judgment on the pleadings, or motion for summary judgment. (See <i>Kittredge Sports Co. v. Superior Court</i> (1989) 213 Cal.App.3d 1045, 1048 [“[T]he preferable practice would be to permit the amendment and allow the parties to test its legal sufficiency by demurrer, motion for judgment on the pleadings or other appropriate proceedings.”].) In this way, the court may address the issue squarely on the merits. Therefore, the court will grant the motion for leave to file a cross-complaint. Defendant FCMG shall give notice of this ruling.
4	ADM Capital Singapore Pte. Ltd vs. Nath 30-2022-01252773	<u>Motion to Be Relieved as Counsel</u> Counsel Jeffer Mangels & Mitchell LLP’s Motion to Be Relieved as Counsel for Plaintiff ADM Capital Singapore Pte. Ltd. is GRANTED. Counsel Jeffer Mangels & Mitchell LLP is ORDERED to submit to this court a proposed Order Granting Attorney’s Motion to Be Relieved as Counsel – Civil (Form MC-053), that is completely and correctly completed, within 10 days of this ruling. Within 15 days of receiving the signed Form MC-053 back from the court, Counsel Jeffer Mangels & Mitchell LLP is ORDERED to serve Plaintiff ADM Capital Singapore Pte. Ltd. with the signed Form MC-053, notice of the Order to Show Cause hearing set forth below, and notice of this ruling, in the manner described in Rules of Court rule 3.1362(d).

		Counsel Jeffer Mangels & Mitchell LLP shall be relieved as counsel of record for Plaintiff ADM Capital Singapore Pte. Ltd. effective upon the filing of a proof of service showing timely service of the signed Form MC-053, notice of the Order to Show Cause hearing, and notice of this ruling. The Court SETS a hearing on an Order to Show Cause re: Dismissing the Complaint for Failure to Retain Counsel on September 24, 2026, at 10:00 am in Department N15. <u>Pending Motion</u> Counsel Jeffer Mangels & Mitchell LLP (Counsel) moves to be relieved as counsel for Plaintiff ADM Capital Singapore Pte. Ltd.. <u>Standard to Be Relieved as Counsel</u> "The attorney in an action or special proceeding may be changed at any time before or after judgment or final determination . . . [u]pon the order of the court, upon the application of either client or attorney, after notice from one to the other." (Code Civ. Proc., § 284.) The notice of motion and motion to be relieved as counsel under Civil Procedure Code section 284 shall be directed to the client and shall be made on the Judicial Council's Notice of Motion and Motion to Be Relieved as Counsel-Civil form (Form MC-051). (Cal. Rules of Court, rule 3.1362(a).) No memorandum is required for the motion. (See Cal. Rules of Court, rule 3.1362(b).) However, "[t]he motion to be relieved as counsel must be accompanied by a declaration on the <i>Declaration in Support of Attorney's Motion to Be Relieved as Counsel – Civil</i> (form MC-052). The declaration must state in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1)." (Cal. Rules of Court, rule 3.1362(c), italics original.) In addition, "[t]he proposed order relieving counsel must be prepared on the <i>Order Granting Attorney's Motion to Be Relieved as Counsel--Civil</i>
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		(form MC-053) and must be lodged with the court with the moving papers.” (Cal. Rules of Court, rule 3.1362(e), <i>italics original</i>.) Motions to be relieved as counsel “must be served on the client and on all other parties who have appeared in the case” and service must be made by “personal service, electronic service, or mail.” (Cal. Rules of Court, rule 3.1362(d).) If the motion is served by mail, it shall be accompanied by a declaration stating facts showing either that (1) the service address is the current residence or business address of the client or (2) the service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days prior to filing the motion. (Cal. Rules of Court, rule 3.1362(d)(1).) “As used in this rule, ‘current’ means that the address was confirmed within 30 days before the filing of the motion to be relieved. Merely demonstrating that the notice was sent to the client’s last known address and was not returned or no electronic delivery failure message was received is not, by itself, sufficient to demonstrate that the address is current.” (<i>Ibid.</i>) If the motion is served by electronic mail, “it must be accompanied by a declaration stating that the electronic service address is the client’s current electronic service address.” (Cal. Rules of Court, rule 3.1362(d)(2).) The motion may be brought on various grounds, some of which include the client’s failure to pay attorney fees, (<i>People v. Prince</i> (1968) 268 Cal.App.2d 398, 406); the client’s insistence on an action that is not justified under existing law or by good faith argument, (<i>Estate of Falco v. Decker</i> (1987) 188 Cal.App.3d 1004, 1015); and a conflict of interest between counsel and the client, (<i>Aceves v. Superior Court</i> (1996) 51 Cal.App.4th 584, 592.) However, under the Rules of Professional Conduct, “a member shall not terminate a representation until the lawyer has taken reasonable steps to avoid reasonably foreseeable prejudice to the rights of the client, such as giving the client sufficient notice to permit the client to retain other
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		counsel, and complying with paragraph (e).” (Rules Prof. Conduct, rule 1.16(d); see <i>Ramirez v. Sturdevant</i> (1994) 21 Cal.App.4th 904, 915.) Thus, the court has discretion to deny a motion to be relieved as counsel where discharging counsel would result in “undue prejudice to the client’s interests,” (<i>Ramirez vs. Sturdevant</i> (1994) 21 Cal.App.4th 904, 915), or “an unreasonable disruption of the orderly processes of justice,” (<i>People v. Ortiz</i> (1990) 51 Cal.3d 975, 979). The court may also deny an attorney’s request to withdraw “where such withdrawal would work an injustice or cause undue delay in the proceeding”. (<i>Mandell v. Superior Court</i> (1977) 67 Cal.App.3d 1, 4.) However, such discretion is to be exercised reasonably. (<i>Ibid.</i>) In this case, Counsel has complied with the requirements of the California Rules of Court, including serving the client with the motion papers by mail at the client’s last known address and confirming within the last 30 days that the address is the client’s current address. Counsel also has declared a justifiable reason to be relieved as counsel — the failure of the client to respond to communications from Counsel despite multiple attempts to contact the client. In addition, there are no substantive hearings on calendar and no trial has been set. Thus, Plaintiff ADM Capital Singapore Pte. Ltd. will have sufficient time to find new counsel and will not be unduly prejudiced in its ability to litigate the case. In any case, no opposition has been filed setting forth prejudice to Plaintiff ADM Capital Singapore Pte. Ltd. or any other party should the court grant the motion to be relieved as counsel. (See <i>Nazir v. United Airlines, Inc.</i> (2009) 178 Cal.App.4th 243, 288 [failure to address or oppose issue in motion constitutes waiver of that issue].) Therefore, the court will grant the motion to be relieved as counsel. However, Plaintiff ADM Capital Singapore Pte. Ltd. is a corporation, limited liability company, or other artificial legal entity that cannot represent itself and must retain counsel to act on its behalf in court. (See <i>Gamet v. Blanchard</i> (2001) 91 Cal.App.4th 1276, 1284 fn.5; <i>Rogers v. Sonoma</i>
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		<i>County Municipal Court</i> (1988) 197 Cal.App.3d 1314, 1318.) While the ban on self-represented artificial legal entities does not prevent the court from granting the motion to withdraw, it does place pressure on Plaintiff ADM Capital Singapore Pte. Ltd. to obtain new counsel or risk forfeiting important rights through non-representation, such as dismissal of the action or having a default entered. (See <i>Rogers v. Sonoma County Municipal Court</i>, <i>supra</i>, 197 Cal.App.3d at p. 1318; <i>Ferruzzo v. Superior Court</i> (1980) 104 Cal.App.3d 501, 504.) Therefore, it is incumbent upon the court and Counsel to advise the Plaintiff ADM Capital Singapore Pte. Ltd. or the representatives of Plaintiff ADM Capital Singapore Pte. Ltd. of the necessity of obtaining representation and to ensure that they obtain representation. (See <i>Rogers v. Sonoma County Municipal Court</i>, <i>supra</i>, 197 Cal.App.3d at p. 1318.) The court will issue an order to show cause re: dismissing the complaint for failure to retain counsel, and will order that Counsel serve Plaintiff ADM Capital Singapore Pte. Ltd. with the order relieving counsel, notice of the order to show cause re: dismissing the complaint for failure to retain counsel, and notice of this ruling. Counsel shall give notice of this ruling in the manner ordered by the court.
5	Khajavi vs. 101 Visitation Solutions, LLC 30-2023-01329984	<u>Motion for Sanctions</u> Plaintiff Dara M. Khajavi's Motion for Sanctions and Based on Spoliation of Evidence and Misuse of the Discovery Process is DENIED. <u>Pending Motion</u> Plaintiff Dara M. Khajavi moves for issue sanctions and evidentiary sanction against Defendant Leyla Kabban (Defendant Kabban). <u>Standard for Discovery Sanctions</u> The trial court has expansive authority over discovery issues. (<i>Lopez v. Watchtower Bible &</i>

		<i>Tract Society of New York, Inc.</i> (2016) 246 Cal.App.4th 566, 596.) This authority includes the power to impose monetary, issue, evidence, terminating, or contempt sanctions against any person engaging in any misuse of the discovery process. (See Code Civ. Proc., § 2023.030, subd.s (a)-(e).) Misuse of the discovery process includes, but is not limited to, using a discovery method in a manner that does not comply with its specified procedures; employing a discovery method in a manner or to an extent that causes unwarranted annoyance, embarrassment, or oppression, or undue burden; failing to submit or to respond to an authorized method of discovery; and disobeying a court order to provide discovery. (See Code Civ. Proc., §§ 2023.010, 2030.300, subd. (e) [interrogatories], 2031.310, subd. (i) [requests for production of documents], 2033.290, subd. (e) [requests for admissions].) “The court may impose an issue sanction ordering that designated facts shall be taken as established in the action in accordance with the claim of the party adversely affected by the misuse of the discovery process. The court may also impose an issue sanction by an order prohibiting any party engaging in the misuse of the discovery process from supporting or opposing designated claims or defenses.” (Code Civ. Proc., § 2023.030, subd. (b); see also <i>NewLife Sciences, LLC v. Weinstock</i> (2011) 197 Cal.App.4th 676, 686-687.) In addition, “[t]he court may impose an evidence sanction by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence.” (Code Civ. Proc., § 2023.030, subd. (c); see also <i>Lee v. Lee</i> (2009) 175 Cal.App.4th 1553, 1559. Normally, in order to impose issue, evidence, or terminating sanctions, the party subject to more serious sanctions must have failed to comply with previously issued court orders and the failure must be willful. (See <i>Lee v. Lee</i> (2009) 175 Cal.App.4th 1553, 1559 [“[A]bsent unusual circumstances, such as repeated and egregious discovery abuses, two facts are generally prerequisite to the imposition of a nonmonetary sanction. There must
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		be a failure to comply with a court order and the failure must be willful."].) However, "[s]ome courts have held that the more serious sanctions may be imposed . . . even where no specific order has been violated, but those cases have involved repeated and willful refusals to permit discovery or produce documents over a lengthy period of time which resulted in evidence becoming unavailable." (<i>Maldonado v. Superior Court</i> (2002) 94 Cal.App.4th 1390, 1399.) "The purpose of discovery sanctions 'is not to provide a weapon for punishment, forfeiture and the avoidance of a trial on the merits' but to prevent abuse of the discovery process and correct the problem presented." (<i>Parker v. Wolters Kluwer U.S., Inc.</i> (2007) 149 Cal.App.4th 285, 301, citations omitted, quoting <i>Caryl Richards Inc. v. Superior Court</i> (1961) 188 Cal.App.2d 300, 303; see <i>In re Marriage of Chakko</i> (2004) 115 Cal.App.4th 104, 109 ["In exercising its broad discretion to sanction discovery abuses, the trial court may impose any sanction authorized by statute that will enable the party seeking discovery to obtain the objects of the discovery sought."].) Therefore, "[d]iscovery sanctions 'should be appropriate to the dereliction, and should not exceed that which is required to protect the interest of the party entitled to but denied discovery.'" (<i>Doppes v. Bentley Motors, Inc.</i>, <i>supra</i>, 174 Cal.App.4th at p. 992, quoting <i>Laguna Autobody v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 487.) The moving party has the burden to show the other party's failure to comply with the discovery statutes or the court's orders. (See <i>Do It Urself Moving & Storage, Inc. v. Brown, Leifer, Slatkin & Berns</i> (1992) 7 Cal.App.4th 27, 37 ["As the moving parties, defendants were only required to demonstrate plaintiffs' willful failure to comply with discovery."], superseded by statute on other grounds, <i>Union Bank v. Superior Court</i> (1995) 31 Cal.App.4th 573, 583.) Thereafter, the burden of proof shifts to the party seeking to avoid sanctions to establish their lack of willfulness. (See <i>Corns v. Miller</i> (1986) 181 Cal.App.3d 195, 201 ["In the context of sanctions against a party for willful refusal to furnish
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	discovery, it has been held that the responding party has the burden of proving the lack of willfulness of his failure to perform.”].) <u>Separate Statement</u> As an initial matter, California Rules of Court rule 3.1345 requires that a motion seeking issue or evidentiary sanctions include a separate statement. (See Cal. Rules of Court, rule 3.1345(a)(7).) Such a separate statement is necessary here because it informs the court what discovery requests were propounded on Defendant and what Defendant’s responses were to those requests. Without a separate statement, the court is unable to determine whether Defendant’s discovery responses were deficient or otherwise constituted a misuse of the discovery process, and whether issue or evidentiary sanctions are appropriate in this instance. As noted above, it is Plaintiff’s burden to establish that Defendant has violated the discovery statutes and without a separate statement, Plaintiff cannot meet that burden. Therefore, the court will deny the motion on this basis. <u>Spoliation of Evidence</u> However, even if the court were to address Plaintiff’s arguments on the merits, the court would still deny the motion. Here, Plaintiff argues that issue and evidentiary sanctions, including adverse inference jury instructions, are appropriate because Defendant Kabban failed to produce text messages between Defendant Kabban and Plaintiff’s ex-wife, which Defendant later claimed were deleted. Spoliation of evidence “is defined as the destruction or alteration of relevant evidence or the failure to preserve evidence for another party’s use in pending or future litigation.” (<i>Victor Valley Union High School District v. Superior Court</i> (2023) 91 Cal.App.5th 1121, 1139.)
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		"[T]he party moving for discovery sanctions based on the spoliation of evidence must make an initial prima facie showing that the responding party in fact destroyed evidence that had a substantial probability of damaging the moving party's ability to establish an essential element of his claim or defense." (<i>Williams v. Russ</i> (2008) 167 Cal.App.4th 1215, 1227.) "One remedy for spoliation is an adverse evidentiary inference — allowing the jury to infer that evidence which one party has willfully destroyed or rendered unavailable was unfavorable to that party. Such an instruction may be given only if there is evidence of willful suppression, which one appellate court has described as 'evidence that a party destroyed evidence with the intention of preventing its use in litigation.'" (<i>Bader v. Johnson & Johnson</i> (2022) 86 Cal.App.5th 1094, 1128-1129, citations omitted, quoting <i>New Albertsons, Inc. v. Superior Court</i> (2008) 168 Cal.App.4th 1403, 1434.) Here, Plaintiff presents some limited evidence that he requested text messages between Defendant Kabban and Plaintiff's ex-wife and that Defendant Kabban did not produce these text messages. (See Decl. of Dara M. Khajavi in Supp. of Pltf.'s Mot. for Sanctions Based on Spoliation of Evidence and Misuse of the Discovery Process (Khajavi Decl.), ¶¶ 14-19, Exh. B.) However, Plaintiff did not establish with competent evidence that the text messages had been destroyed. The only evidence presented by Plaintiff is a double hearsay statement allegedly by Defendant Kabban to her counsel and then made by her counsel to Plaintiff. (See <i>id.</i>, p 21.) Plaintiff even concedes that, despite his requests, Defendant Kabban has never confirmed that the text messages were destroyed. (See <i>id.</i>, ¶¶ 22-38.) Plaintiff also admits that "Defendant's written discovery responses did not clearly and directly state, under oath, that the text messages between Defendant and Mrs. Khajavi had been deleted or destroyed." (<i>Id.</i>, ¶¶ 17.)
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		Furthermore, Plaintiff has provided no evidence that the text messages were <i>willfully</i> destroyed. Although Plaintiff states that he attempted to determine when, how, and why the texts were deleted, he does not submit any evidence on these issues. (See <i>id.</i>, ¶ 23.) Finally, Plaintiff fails to establish that there is a substantial probability that the destruction of the text messages damaged his ability to establish an essential element of his claims. For example, although Plaintiff questioned Defendant Kabban at her deposition about the existence of the text messages, Plaintiff provides no evidence that he questioned Defendant Kabban about the contents of the text messages. Plaintiff also provides no evidence about the contents of the text of the text messages. Without this information, the court cannot ascertain what effect, if any, the alleged deletion of the text messages had Plaintiff's ability to make out his case. In sum, Plaintiff has not established whether the text messages were deleted, if their destruction was willful, and that there is a substantial probability that the deletion of the text messages damaged Plaintiff's ability to establish an essential element of his claims. Therefore, the court will deny the motion for sanctions without prejudice. The court understands that Plaintiff may be frustrated because Defendant Kabban has allegedly refused to comply with her discovery obligations. However, the court cannot issue serious and severe evidentiary and issue sanctions without the showing required by the case law. Any matters regarding Defendant Kabban's failure to produce discovery should be resolved in Department CM02, which has jurisdiction over all discovery issues. Defendant Kabban shall give notice of this ruling.

6	Carlin vs. Reiser 30-2025-01454477	<u>Motion to Dismiss</u> Defendant Hon. Glen M. Reiser (Ret.)’s Motion to Dismiss as a Defendant is GRANTED. Defendant Hon. Glen M. Reiser (Ret.) is DISMISSED with prejudice. Defendant Hon. Glen M. Reiser (Ret.)’s Request for Judicial Notice in Support of Motion to Dismiss as a Defendant is GRANTED as to Exhibits A-D. (See Evid. Code, § 452, subd. (d).) <u>Pending Motion</u> Defendant Hon. Glen M. Reiser (Ret.) (Defendant Reiser) moves to be dismissed from this action pursuant to Civil Procedure Code section 581(f)(2). <u>Standard for Dismissal</u> Civil Procedure Code section 581 states that: (f) The court may dismiss the complaint as to that defendant when: (1) Except where Section 597 applies, after a demurrer to the complaint is sustained without leave to amend and either party moves for dismissal. (2) Except where Section 597 applies, after a demurrer to the complaint is sustained with leave to amend, the plaintiff fails to amend it within the time allowed by the court and either party moves for dismissal. (3) After a motion to strike the whole of a complaint is granted without leave to amend and either party moves for dismissal. (4) After a motion to strike the whole of a complaint or portion thereof is granted with leave to amend the plaintiff fails to amend it within the time allowed by the court and either party moves for dismissal. (Code Civ. Proc., § 581, subd. (f).)
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	Therefore, pursuant to Section 581(f)(2), if a demurrer is sustained with leave to amend as to all causes of action against a defendant and the time to amend has expired, that defendant may seek dismissal. (<i>Haidet v. Del Mar Woods Homeowners Ass’n</i> (2024) 106 Cal.App.5th 530, 535-536.) In this case, on September 24, 2025, the court sustained the demurrer of Defendant Hon. Glen M. Reiser, Ret. as to all 8 causes of action of the Complaint with 15 days leave to amend. (See ROA #166.) More than 9 months later, Plaintiff still has not amended the Complaint. Thus, Defendant Reiser is entitled to a dismissal pursuant to Section 581(f)(2). Plaintiff, however, argues that dismissal is discretionary and that the court should not dismiss Defendant Reiser due to the fact that this case has presented unusually complicated procedure postures involving overlapping demurrers and anti-SLAPP motions that have affected the scope of the leave to amend. Specifically, Plaintiff refers to the fact that Defendants Matthew G. Stein, Christina Yee, and Leonard S. Carlin all filed Special Motions to Strike pursuant to the Anti-SLAPP statute, Civil Procedure Code section 425.16. However, on September 29, 2025, the court specifically rejected a proposal that Plaintiff not be allowed to amend the Complaint until the court ruled on the Special Motions to Strike. (See ROA #174 at p. 3.) The court indicated that Plaintiff could amend the Complaint but that “because the demurrers were not brought by Defendants Matthew G. Stein, Christina Yee, and Leonard S. Carlin, Plaintiffs are barred from amending the claims against those Defendants in an effort to respond to the Anti-SLAPP Motions.” (<i>Ibid.</i>) Nonetheless, even assuming Plaintiff was hesitant to amend the Complaint until after the court ruled on the Special Motions to Strike, the court issued its ruling on those motions on January 15, 2026. (ROA #195.)
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		Plaintiff has not amended the Complaint in the almost 5 ½ months since then. Plaintiff also contends that the court's ruling on the Special Motions to Strike, the court stated that "[a]t the request of the parties, the court will provide a further, detailed explanation of its rulings above." (See ROA #195 at p. 2.) However, the court's ruling on the Special Motions to Strike clearly indicated that motions were granted as to all 8 causes of action asserted against Defendants Matthew G. Stein and Christina Yee, and as to the 1st, 5th, 6th, 7th, and 8th Causes of Action asserted against Defendant Leonard S. Carlin (and denied as to the 2nd, 3rd, and 4th Causes of Action against Defendant Leonard S. Carlin). Further, the court did not grant leave to amend as to any of the moving defendants. (See <i>Dickinson v. Cosby</i> (2017) 178 Cal.App.5th 655, 676 ["Although the anti-SLAPP statute does not specifically state it, a plaintiff whose complaint is stricken by a successful anti-SLAPP motion cannot try again with an amended complaint. There is no such thing as granting an anti-SLAPP motion with leave to amend."].) Thus, as of January 15, 2026, Plaintiff understood that the court had sustained Defendant Reiser's demurrer and that Plaintiff needed to amend the Complaint as to all of the causes of action asserted against Defendant Reiser. Plaintiff also understood that he could only assert the 2nd, 3rd, and 4th Causes of Action Defendant Leonard S. Carlin. The detailed explanation of the court's ruling on the Special Motions to Strike would be of no utility to Plaintiff because the motions were granted without leave to amend as to all the causes of action asserted against Defendants Matthew G. Stein and Christina Yee, and as to 5 of the 8 causes of action against Defendant Leonard S. Carlin. As to the remaining 3 causes of action against Defendant Leonard S. Carlin, Plaintiff did not need to and was not allowed to amend those.
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		In fact, it does not appear that Plaintiff was waiting on the detailed explanation as he did not request it until May 22, 2026, more than 4 months after the court issued its ruling on the Special Motions to Strike. (See ROA #221.) (fn.1) (fn.1) While Defendant Leonard S. Carlin did request the detailed explanation on February 2, 2026, the court clerk's office inadvertently did not process it until May 2026. For at least 5 months (and as many as 9 months), Defendant Reiser has been laboring under the impression that Plaintiffs were not asserting claims against him. It would be unfair and prejudicial to allow Plaintiff to revive claims that have been abandoned months ago. Defendant Reiser shall give notice of this ruling.
7	Bank of America N.A. vs. Husain 30-2025-01455851	<u>Motion to Set Aside</u> Defendant Manzur Husain's Motion to Set Aside Default and Vacate Default Judgment is GRANTED. The Default entered against Defendant Manzur Husain on April 22, 2025 is SET ASIDE. The Default Judgment against Defendant Manzur Husain issued on May 6, 2025 is VACATED. Defendant Manzur Husain is ORDERED to file his answer to the Complaint within 15 days of this ruling, and to serve his answer on all parties that have appeared in this matter within 60 days of this ruling. The court SETS a Case Management Conference for October 15, 2026 at 9:00 a.m. in Department N15. <u>Pending Motion</u> Defendant moves to set aside the Default entered against him on April 22, 2025 (ROA #15) and the Default Judgment against him issued on May 6, 2025 (ROA #14) pursuant to Civil Procedure Code section 473.5 and 473(d). Defendant also requests a stay of enforcement of the Default Judgment and permission to file and serve an answer to the Complaint filed by Plaintiff Bank of America, N.A.

Standard to Set Aside Entry of Default and/or Default Judgment

Civil Procedure Code section 473.5 states:

When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against the party; or (ii) 180 days after service on the party of a written notice that the default or default judgment has been entered.

(Code Civ. Proc., § 473.5, subd. (a).)

A motion brought pursuant to Section 473.5 must be "accompanied by an affidavit showing under oath that the party's lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect" as well as "a copy of the answer, motion, or other pleading proposed to be filed in the action." (Code Civ. Proc., § 473.5, subd. (b).)

In addition, Civil Procedure Code section 473(d) states that "[t]he court . . . may, on motion of either party after notice to the other party, set aside any void judgment or order." ((Code Civ. Proc., § 473, subd. (d).)

"[I]f a default judgment was entered against a defendant who was not served with a summons as required by statute, the judgment is void, as the court lacked jurisdiction in a fundamental sense over the party and lacked authority to enter judgment." (*Kremerman v. White* (2021) 71 Cal.App.5th 358, 370.)

While the trial court "retains discretion to grant or deny a motion to set aside a void judgment" under Section 473(d), it does not have discretion "to set aside a judgment that is not void" in the first instance. (*Id.* at p. 369.)

		Here, Defendant contends that he was never served with the Summons and Complaint, and therefore, did not receive actual notice of the lawsuit. Plaintiff points to the fact that it filed a proof of service signed by a registered process server showing that Defendant was served with the Summons and Complaint on February 2, 2025. (See ROA #10.) "The return of a [registered] process server [] upon process or notice establishes a presumption, affecting the burden of producing evidence, of the facts stated in the return." (Evid. Code, § 647; see <i>Floveyor Int'l, Ltd. v. Superior Court</i> (1997) 59 Cal.App.4th 789, 795; <i>American Exp. Centurion Bank v. Zara</i> (2011) 199 Cal.App.4th 383, 390 ["Evidence Code section 647 provides that a registered process server's declaration of service establishes a presumption affecting the burden of producing evidence of the facts stated in the declaration."].) The party seeking to defeat service of process must present sufficient evidence to show that the service did not take place as stated. (<i>Palm Property Investments, LLC v. Yadegar</i> (2011) 194 Cal.App.4th 1419, 1428.) Merely denying service took place without more is insufficient to overcome the presumption. (See <i>id.</i> at p. 1428.) Here, Defendant filed declaration explaining that he has a firm personal practice of not opening doors to unexpected visitors or strangers, that his apartment complex has building numbers that are high up and difficult to find, that he never opened the door to any process server at any time related to this case, that he did not verbally identify himself to anyone, that he did not receive any legal documents related to this case, and that the description in the proof of service does not match his description. (See Decl. of Manzur Husain in Supp. of Mot. to Set Aside Default, Vacate Default J., and Stay of Execution (Husain Decl.), ¶¶ 4-7). Defendant's declaration is contains sufficient facts and details to overcome the presumption created by Section 647. In response, Plaintiff only provides the declaration of its Counsel, who states that a demand letter and an intent to sue letter were mailed to Plaintiff
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		prior to the filing of the Complaint. (See Decl. of Alexander Balzer Carr, ¶ 2, Exh.s 1-2.) However, the fact that Plaintiff sent pre-litigation letters to Defendant is irrelevant to the issue of whether Defendant received notice of this lawsuit. Plaintiff's Counsel also attaches photos that were "taken by the process server near the time service was effected." (See <i>id.</i>, ¶ 3, Exh. 3.) Plaintiff's Counsel lacks the personal knowledge and foundation to authenticate these photos, and the court cannot consider them. Plaintiff's Counsel also states that "a copy of the default judgment packet was mailed to Defendant at the service address on or about April 22, 2025." (<i>Id.</i>, ¶ 4.) However, Plaintiff's Counsel presents no proof of service for the default judgment packet. In any case, the fact that the default judgment packet, which is a technical document, was mailed to Defendant is only weak evidence that he had notice of this action. Further, Plaintiff points to no undue prejudice that it will suffer as result of granting the motion. Thus, considering all of the evidence presented and taking into account the policy that favors resolution of claims on the merits rather than by default, the court finds that Defendant has shown that he did not have actual notice of this action. (See <i>Iott v. Franklin</i> (1988) 206 Cal.App.3d 521, 526 [law favors trial on the merits and doubts in vacating default should be resolved in favor of party seeking relief where no prejudice is shown].) Plaintiff also argues that Defendant cannot obtain relief under Section 473.5 because Defendant filed the motion after six months from notice of entry of default. However, Plaintiff fails to offer any evidence that notice of the default or notice of entry of default judgment was served on Defendant. The Plaintiff's Counsel's declaration only states that, "A copy of the default judgment packet was
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		mailed to Defendant at the service address on or about April 22, 2025” (Carr Decl., ¶ 4.) However, the declaration does not state that a notice of entry of default or notice of entry of default judgment were sent to Defendant. For example, the declaration fails to identify what documents were included in the “default judgment packet.” Further, the declaration does not indicate if the documents were properly <i>served</i> (as opposed to just mailed) on the Defendant. Finally, it is not clear that Plaintiff’s Counsel has the personal knowledge or foundation to testify to this fact. The declaration does not include information about who mailed the default judgment packet and how they mailed it, nor does it include a proof of service for the default judgment packet. For this reason, Plaintiff had until “two years after entry of a default judgment” to file and serve his motion to set aside default. Judgment was entered against Defendant on May 6, 2025, so that this motion had to be filed and served by May 6, 2027. (See ROA #14.) Defendant filed the instant motion on March 4, 2026, so that it is timely. Therefore, the court will grant the motion to set aside and allow Defendant to file his answer. A stay of enforcement of the Default Judgment is unnecessary because the court will vacate the Default Judgment. Defendant shall give notice of this ruling.
8	Hendrix vs. Farshidi 30-2025-01451171	<u>Motion for Summary Judgment</u> Defendants Farnoosh Farshidi, M.D.’s and Farnoosh Farshidi, M.D. Inc.’s Motion for Summary Judgment is taken OFF CALENDAR pursuant Defendants Farnoosh Farshidi, M.D. and Farnoosh Farshidi, M.D. Inc.’s Notice of Taking Motion For Summary Judgment Off Calendar filed June 4, 2026 (ROA #49).

10	Cano vs. O'Grady 30-2024-01410607	<u>Motions for Sanctions</u> Defendant NM Law, APC's Motion for Terminating Sanctions, or in the Alternative, Issue Sanctions, Against Plaintiff Sharon Rachelle Cano for Violation of Court's February 5, 2026 Order re Form Interrogatories, Set One is GRANTED in part and DENIED in part. Defendant NM Law, APC's Motion for Terminating Sanctions, or in the Alternative, Issue Sanctions, Against Plaintiff Sharon Rachelle Cano for Violation of Court's February 5, 2026 Order re Special Interrogatories, Set One is GRANTED in part and DENIED in part. Defendant NM Law, APC's Motion for Terminating Sanctions, or in the Alternative, Issue Sanctions, Against Plaintiff Sharon Rachelle Cano for Violation of Court's February 5, 2026 Order re Requests for Production, Set One is GRANTED in part and DENIED in part. Plaintiff Sharon Rachelle Cano is ORDERED to pay is ORDERED to pay to Defendant NM Law, APC sanctions of reasonable attorney's fees in the amount of \$1,000 (4 hours x \$250 per hour) within 30 days of service of the notice of ruling. <u>Pending Motion</u> Defendant NM Law, APC, (Defendant NM Law) moves for terminating sanctions or evidentiary sanctions, as well as monetary sanctions and sanctions payable to the court, against Plaintiff Sharon Rachelle Cano based on Plaintiff's failure to comply with the court's February 5, 2026 order regarding form interrogatories, special interrogatories, and requests for production. <u>Standard for Non-Monetary Discovery Sanctions</u> The trial court has expansive authority over discovery issues. (<i>Lopez v. Watchtower Bible & Tract Society of New York, Inc.</i> (2016) 246 Cal.App.4th 566, 596.) This authority includes the power to impose monetary, issue, evidence, terminating, or contempt sanctions against any person engaging in any misuse of the discovery process. (See Code Civ. Proc., § 2023.030, subd.s (a)-(e).)
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		Misuse of the discovery process includes, but is not limited to, using a discovery method in a manner that does not comply with its specified procedures; employing a discovery method in a manner or to an extent that causes unwarranted annoyance, embarrassment, or oppression, or undue burden; failing to submit or to respond to an authorized method of discovery; and disobeying a court order to provide discovery. (See Code Civ. Proc., §§ 2023.010, 2030.300, subd. (e) [interrogatories], 2031.310, subd. (i) [requests for production of documents], 2033.290, subd. (e) [requests for admissions].) "The court may impose an evidence sanction by an order prohibiting any party engaging in the misuse of the discovery process from introducing designated matters in evidence." (Code Civ. Proc., § 2023.030, subd. (c); see also <i>Lee v. Lee</i> (2009) 175 Cal.App.4th 1553, 1559. Terminating sanctions are considered more severe and are imposed by: (1) striking out the pleadings, or parts of the pleadings, of any party engaging in the misuse of the discovery process, (2) staying further proceedings by that party until an order for discovery is obeyed, (3) dismissing the action, or any part of the action, or (4) rendering judgment by default against that party. (Code Civ. Proc., § 2023.030, subd. (d).) "The trial court may order a terminating sanction for discovery abuse 'after considering the totality of the circumstances: [the] conduct of the party to determine if the actions were willful; the detriment to the propounding party; and the number of formal and informal attempts to obtain the discovery.'" (<i>Los Defensores, Inc. v. Gomez</i> (2014) 223 Cal.App.4th 377, 390, quoting <i>Lang v. Hochman</i> (2000) 77 Cal.App.4th 1225,1246.) In order to impose issue, evidence, or terminating sanctions, the party subject to more serious sanctions must have failed to comply with previously issued court orders and the failure must be willful. (See <i>Lee v. Lee</i> (2009) 175 Cal.App.4th 1553, 1559 ["[A]bsent unusual circumstances, such as repeated and egregious discovery abuses, two facts are generally prerequisite to the
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		imposition of a nonmonetary sanction. There must be a failure to comply with a court order and the failure must be willful.”.) However, “[s]ome courts have held that the more serious sanctions may be imposed . . . even where no specific order has been violated, but those cases have involved repeated and willful refusals to permit discovery or produce documents over a lengthy period of time which resulted in evidence becoming unavailable.” (<i>Maldonado v. Superior Court</i> (2002) 94 Cal.App.4th 1390, 1399.) As the Court of Appeal has explained: [T]he courts have long recognized that the terminating sanction is a drastic penalty and should be used sparingly. A trial court must be cautious when imposing a terminating sanction because the sanction eliminates a party’s fundamental right to a trial, thus implicating due process rights. The trial court should select a sanction that is “tailor[ed] . . . to the harm caused by the withheld discovery.” (<i>Lopez v. Watchtower Bible and Tract Society of New York, Inc.</i> (2016) 246 Cal.App.4th 566, 604, citations omitted, quoting <i>Doppes v. Bentley Motors, Inc.</i> (2009) 174 Cal.App.4th 967, 992.) “The discovery statutes thus ‘evinced an incremental approach to discovery sanctions, starting with <i>monetary</i> sanctions and <i>ending</i> with the ultimate sanction of termination. Although in extreme cases a court has the authority to order a terminating sanction as a first measure, a terminating sanction should generally not be imposed until the court has attempted less severe alternatives and found them to be unsuccessful and/or the record clearly shows lesser sanctions would be ineffective.” (<i>Lopez v. Watchtower Bible and Tract Society of New York, Inc.</i>, <i>supra</i>, 246 Cal.App.4th at pp. 604-605, quoting <i>Doppes v. Bentley Motors, Inc.</i>, <i>supra</i>, 174 Cal.App.4th at p. 992, italics original; see also <i>Los Defensores, Inc. v. Gomez</i>, <i>supra</i>, 223 Cal.App.4th at p. 390 “[A] decision to order terminating sanctions should not be made lightly.”.) “The purpose of discovery sanctions ‘is not to provide a weapon for punishment, forfeiture and
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		the avoidance of a trial on the merits' but to prevent abuse of the discovery process and correct the problem presented." (<i>Parker v. Wolters Kluwer U.S., Inc.</i> (2007) 149 Cal.App.4th 285, 301, citations omitted, quoting <i>Caryl Richards Inc. v. Superior Court</i> (1961) 188 Cal.App.2d 300, 303; see <i>In re Marriage of Chakko</i> (2004) 115 Cal.App.4th 104, 109 ["In exercising its broad discretion to sanction discovery abuses, the trial court may impose any sanction authorized by statute that will enable the party seeking discovery to obtain the objects of the discovery sought."].) However, terminating sanctions are warranted where a party repeatedly failed to respond to discovery responses for nearly one year, and disregarded two court orders, including one order warning that terminating sanctions would be the next step. (<i>Jerry's Shell v. Equilon Enterprises, LLC</i> (2005) 134 Cal.App.4th 1058, 1069.) Here, Defendant NM Law has submitted evidence that Plaintiff misused the discovery process by failing to comply with this court's February 2, 2026 order, in which the court ordered Plaintiff to provide, within 14 days, code-compliant responses without objections to Defendant NM Law's form interrogatories, special interrogatories, and requests for production. (See ROA # 82.) However, Defendant NM Law points to no facts or evidence to show that Plaintiff's failure to comply was willful. In fact, the record shows Defendant NM Law filed this motion the day after Plaintiff's discovery responses were due and presents no evidence that it attempted to contact Plaintiff. Further, there is no evidence Plaintiff has violated any court orders other than the February 2, 2026 court order or that this case "involved repeated and willful refusals to permit discovery or produce documents over a lengthy period of time which resulted in evidence becoming unavailable." (<i>Maldonado v. Superior Court, supra</i>, 94 Cal.App.4th at p. 1399.) Thus, granting evidentiary or terminating sanctions would deviate from the incremental approach that this court must take to ensure the guidance that "[d]iscovery sanctions 'should be appropriate to the dereliction, and should not exceed that which is required to
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		protect the interest of the party entitled to but denied discovery.'" (<i>Doppes v. Bentley Motors, Inc., supra</i>, 174 Cal.App.4th at p. 992, quoting <i>Laguna Autobody v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 487.) Therefore, the court will deny the request for evidentiary and terminating sanctions. <u>Standard for Monetary Discovery Sanctions</u> On the other hand, willfulness is not required for the imposition of monetary sanctions. (<i>Ellis v. Toshiba America Information Systems, Inc.</i> (2013) 218 Cal.App.4th 853, 878; <i>Clement v. Alegre</i> (2009) 177 Cal.App.4th 1277, 1286.) A trial court has "every right to impose a monetary sanction to compel obedience to its lawful orders, or to punish disobedience and disrespect of the court's processes." (<i>20th Century Ins. Co. v. Choong</i> (2000) 79 Cal.App.4th 1274, 1278.) Here, there is no indication that Plaintiff has responded to the discovery requests. The court therefore will grant Defendant NM Law's request for monetary sanctions. However, the amount of monetary sanctions requested is excessive and the court will reduce the amount accordingly. In light of the court's award of monetary sanctions to Defendant NM Law, the court finds it unnecessary to award monetary sanctions pursuant to Civil Procedure Code section 177.5 and will exercise its discretion to deny that request. Defendant NM Law shall give notice of this ruling.
11	Cliq, Inc. vs. Capital Managers, LLC 30-2021-01220754	<u>Motions for Attorney's Fees and Motions to Strike and/or Tax Costs</u> The court will hear from the parties regarding their efforts to agree upon the appointment of a referee to prepare a report and make recommendations on the parties' respective motions for attorney's fees and motions to strike and/or tax costs.

12	Lemus vs. BluKey 30-2023-01303205	<u>Motions to Set Aside</u> Defendant Isabella Nguyen’s Motion to Set Aside Default is DENIED. Defendant BluKey’s Motion to Set Aside Default is GRANTED. Defendants BluKey San Diego, Inc.’s and BluKey Real Estate, Inc.’s Motion to Set Aside Default Judgments [C.C.P. § 473(b)] are GRANTED. The Defaults entered against Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. are SET ASIDE. The Default Judgments issued against Defendant BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. are VACATED. Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. are ORDERED to file their answer to the Complaint within 15 days of this ruling, and to serve their answer on all parties that have appeared in this matter within 60 days of this ruling. The court SETS a Case Management Conference for October 15, 2026 at 9:00 a.m. in Department N15. <u>Pending Motions</u> Defendants Isabella Nguyen; BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. move to set aside the defaults entered against them and the default judgments issued against them. <u>Standard for Statutory Set Aside Entry of Default or Default Judgment</u> The Civil Procedure Code grants the court discretion to “relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect.” (Code Civ. Proc., § 473, subd. (b).)

		"Because the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default." (<i>Elston v. City of Turlock</i> (1985) 38 Cal.3d 227, 233, superseded by statute, on other grounds, as discussed in <i>Tackett v. City of Huntington Beach</i> (1994) 22 Cal.App.4th 60, 64.) "Section 473 is often applied liberally where the party in default moves promptly to seek relief, and the party opposing the motion will not suffer prejudice if relief is granted." (<i>Ibid.</i>) Nonetheless, the requirement that the judgment or order have been entered through "inadvertence, surprise, excusable neglect, or mistake" is "not meaningless, and the party requesting such relief must affirmatively show that the situation is one which clearly falls within such category." (<i>In re Wolper's Estate</i> (1956) 146 Cal.App.2d 249, 251.) As the Court of Appeal has explained: It is obvious that a party who seeks relief under [section 473] must make a showing that due to some mistake, either of fact or of law, of himself [or herself] or of his [or her] counsel, or through some inadvertence, surprise or neglect which may properly be considered excusable, the judgment or order from which he [or she] seeks relief should be reversed. In other words, a burden is imposed upon the party seeking relief to show why he [or she] is entitled to it, and the assumption of this burden necessarily requires the production of evidence. (<i>Hewins v. Walbeck</i> (1943) 60 Cal.App.2d 603, 609-610.) In addition, a motion for relief from default under Section 473 "shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken." (Code Civ. Proc., § 473, subd. (b).) The "six-month time limitation is jurisdictional; the court has no power to grant relief under section 473 once the time has lapsed." (<i>Austin v. Los Angeles Unified School Dist.</i> (2016) 244 Cal.App.4th 918, 928.)
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		under section 473 is available, there is a strong public policy in favor of granting relief and allowing the requesting party his or her day in court. Beyond this period there is a strong public policy in favor of the finality of judgments and only in exceptional circumstances should relief be granted." (<i>Rappleyea v. Campbell</i> (1994) 8 Cal.4th 975, 981-982, quoting <i>In re Marriage of Stevenot</i> (1984) 154 Cal.App.3d 1051, 1071.) Extrinsic fraud only arises when one party has in some way fraudulently been prevented from presenting his or her claim or defense. (<i>Sporn v. Home Depot USA, Inc., supra</i>, 126 Cal.App.4th at p. 1300.) There is no evidence of extrinsic fraud in this matter. The other ground for equitable relief is extrinsic mistake — a term broadly applied when circumstances extrinsic to the litigation have unfairly cost a party a hearing on the merits. (<i>Rappleyea v. Campbell, supra</i>, 8 Cal.4th at p. 981.) Extrinsic mistake exists when the ground of relief is the excusable neglect of the defaulting party to appear and present his claim or defense. If that neglect results in an unjust judgment, without a fair adversary hearing, the basis for equitable relief on the ground of extrinsic mistake is present. (<i>Mechling v. Asbestos Defendants</i> (2018) 29 Cal.App.5th 1241, 1246.) There are three essential requirements to obtain equitable relief from default. The party in default must show a meritorious defense, a satisfactory excuse for not presenting a defense to the original action, and diligence in seeking to set aside the default once it was discovered. (<i>Rappleyea v. Campbell, supra</i>, 8 Cal.4th at p. 982; <i>Sporn v. Home Depot USA, Inc., supra</i>, 126 Cal.App.4th at p. 1301; <i>Mechling v. Asbestos Defendants, supra</i>, 29 Cal.App.5th at p. 1246 ["To qualify for equitable relief based on extrinsic mistake, the defendant must demonstrate: (1) "a meritorious case"; (2) "a satisfactory excuse for not presenting a defense to the original action"; and (3) "diligence in seeking to set aside the default once the fraud [or mistake] had been discovered."].)
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		The moving party bears the burden of proving that he or she is entitled to equitable relief where statutory relief is unavailable. (<i>Sakaguchi v. Sakaguchi</i> (2009) 173 Cal.App.4th 852, 86.) Defendant Isabella Nguyen has not shown that she was somehow prevented from participating in the action or that there is an otherwise satisfactory excuse for not presenting her defense in this matter earlier. On the contrary, the evidence shows that Defendant was well aware of this action since August 2, 2023, but she believed this dispute was resolved simply by informing Plaintiff's Counsel that she did not know who Plaintiff was and that Plaintiff was not an employee of BluKey. (Declaration of Isabella Nguyen, ¶¶ 6-19.) Specifically, Defendant Isabella Nguyen signed a Notice of Acknowledgment of Receipt on August 7, 2023. (<i>Id.</i> at ¶¶ 7-12.) Plaintiff's Counsel did not explain the legal significance of service of the summons and complaint, but Plaintiff's counsel had no obligation to do so. On September 25, 2023, Defendant Isabella Nguyen emailed Plaintiff's counsel, stating that Plaintiff was not an employee of BluKey. Plaintiff's counsel responded the next day, saying "Ok. I will be taking your default and will obtain a judgment against you." (<i>Ibid.</i>) Defendant Isabella Nguyen has not met her burden showing she is entitled to equitable relief or that she has a satisfactory excuse for not presenting a defense earlier. However, Defendants BluKey San Diego, Inc. and BluKey Real Estate, Inc. have sufficiently shown that they are entitled to equitable relief from the default and default judgment. Defendants BluKey San Diego, Inc. and BluKey Real Estate, Inc. never hired and have no connection to Plaintiff or any other party that performed services at the property at issue in this matter. (Declaration of Bao Quoc Nguyen, ¶¶ 11, 24.) Once they were served with the Summons and Complaint, Defendants BluKey San Diego, Inc. and BluKey Real Estate, Inc. contacted Plaintiff's counsel and advised her that they had no
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		connection to Plaintiff or to the property at issue. (<i>Id.</i>, ¶ 14.) These defendants provided Plaintiff’s counsel with the contact information for Defendant Isabella Nguyen and Plaintiff’s counsel promised to dismiss them from the lawsuit. (<i>Id.</i>, ¶ 15.) This evidence is relevant for its effect on the Defendants and their failure to file a responsive pleading. (<i>People v. Ramirez</i> (2022) 13 Cal.5th 997, 1115 [“Evidence of an out-of-court statement may be admitted for the nonhearsay purpose of showing its effect on the listener so long as that effect is relevant to an issue in dispute.”].) Plaintiff did not dismiss Defendants BluKey San Diego, Inc. and BluKey Real Estate, Inc. Instead, their defaults were entered on March 15, 2024. (ROA #34, #36.) Those requests for entry of default indicated Plaintiff served the requests on Defendants at 9365 Fosteria Court San Diego, CA 92127, but that street name was misspelled and should have been spelled “Fostoria.” (<i>Ibid.</i>; Declaration of Bao Quoc Nguyen, ¶¶ 7, 13.) Defendants BluKey San Diego, Inc. and BluKey Real Estate, Inc. have shown a satisfactory excuse for not presenting a defense earlier. They have also met their burden of showing they have a meritorious defense and that they exercised diligence in seeking to set aside the default once it was discovered. Defendants have provided evidence that they had no connection to or involvement with Plaintiff regarding the work he was performing at the property in Mission Viejo. (Bao Quoc Nguyen Dec., ¶¶ 10-12, 14-26.) Defendants discovered the judgment in late January 2026, attempted to resolve the issue, and filed this motion on March 5, 2026 accompanied by a proposed Answer. (<i>Ibid.</i>) The court will deny the motion to set as to Defendant Isabella Nguyen and grant the motion to set aside as to Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. Defendants BluKey; BluKey San Diego, Inc.; and BluKey Real Estate, Inc. shall give notice of this ruling.
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